SurveyMonkey by momentive

3 big findings on consumer shopping that will shape the future of retail



Introduction

There is some good news on the horizon for retailers. Even as the economy sputters, consumers are still spending—from the necessities, like food and groceries, to travel, fashion, media, and streaming services.

However, how they shop and what they expect from their shopping experience has changed dramatically over the past three years. The pandemic acted as an accelerant for retailers to rush out many of the services consumers now consider basic conveniences. From curbside pick up to free home delivery or shop-online-pick-up-in-store, consumers have embraced a digital-first approach to retail. They are now well-trained to expect more options for how, when, and where they get their products.

At the same time, retailers have started experimenting by peeling back perks, like free returns, or forcing customers into subscriptions to receive discounts. But consumers have made it clear they want more—from quicker delivery to flexible payments and personalized recommendations. In a nutshell, they want their retail experience to be streamlined, convenient, and tailored to their needs.

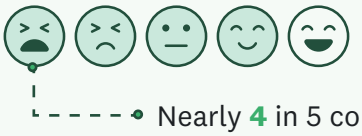
To better understand consumer shopping trends, we asked 2,000 consumers* about their purchase habits, expectations, and priorities. We looked at the demographic differences between consumer preferences by generation and gender. Read on to learn about our top findings, how retailers understand what their ideal buyer wants, and how to gain customer loyalty.



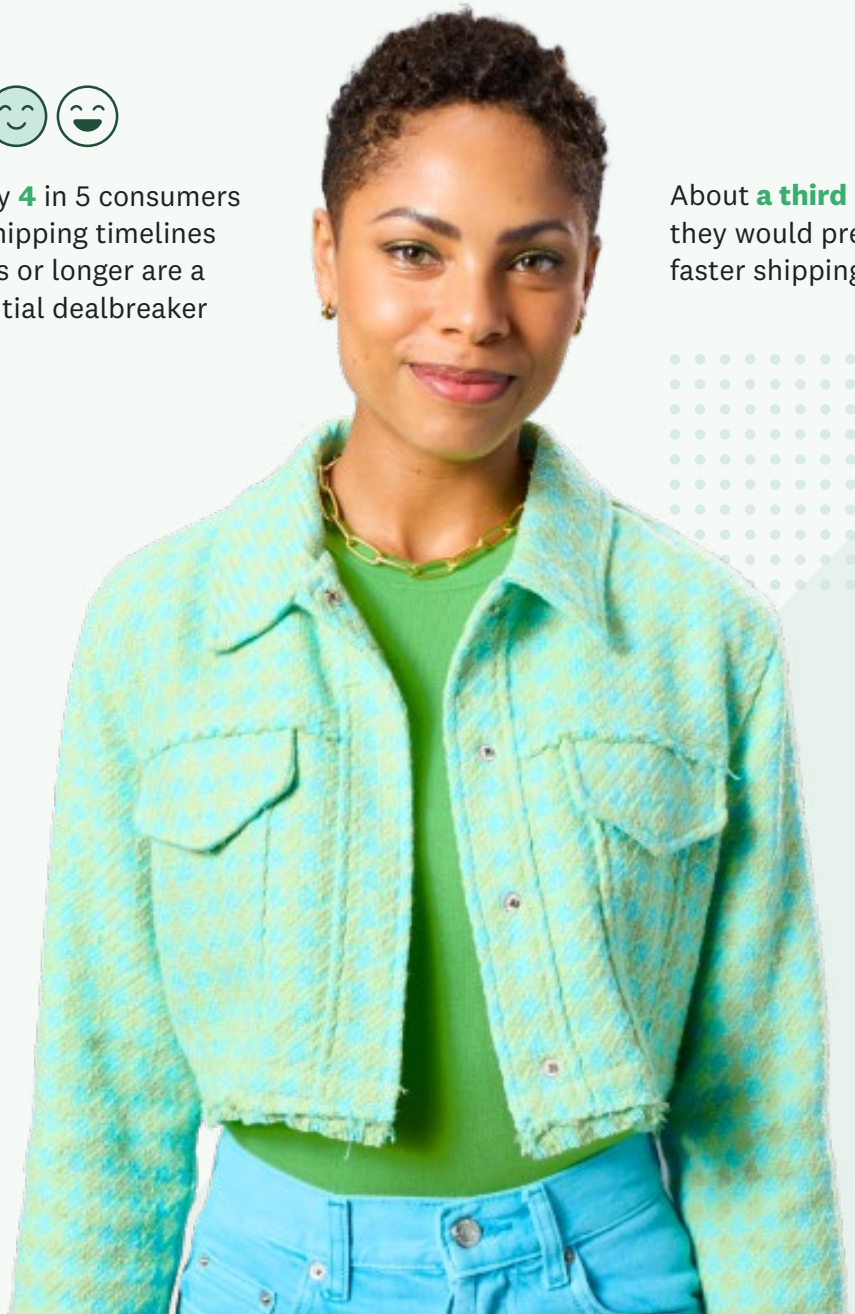
#1 Flexible shipping and return policies gain importance

As online shopping grows in popularity, so does the importance of shipping and return policies. Nearly half (44%) of Americans make online purchases more often than before the pandemic. And, almost nine out of 10 consumers (88%) say shipping and return processes are important when shopping with a brand.

But while consumers may expect fast delivery, they don't necessarily want to pay for it. Only 35% of consumers said they would choose fast delivery with higher fees over slower delivery with lower fees.



Nearly **4** in 5 consumers say shipping timelines 3 days or longer are a potential dealbreaker



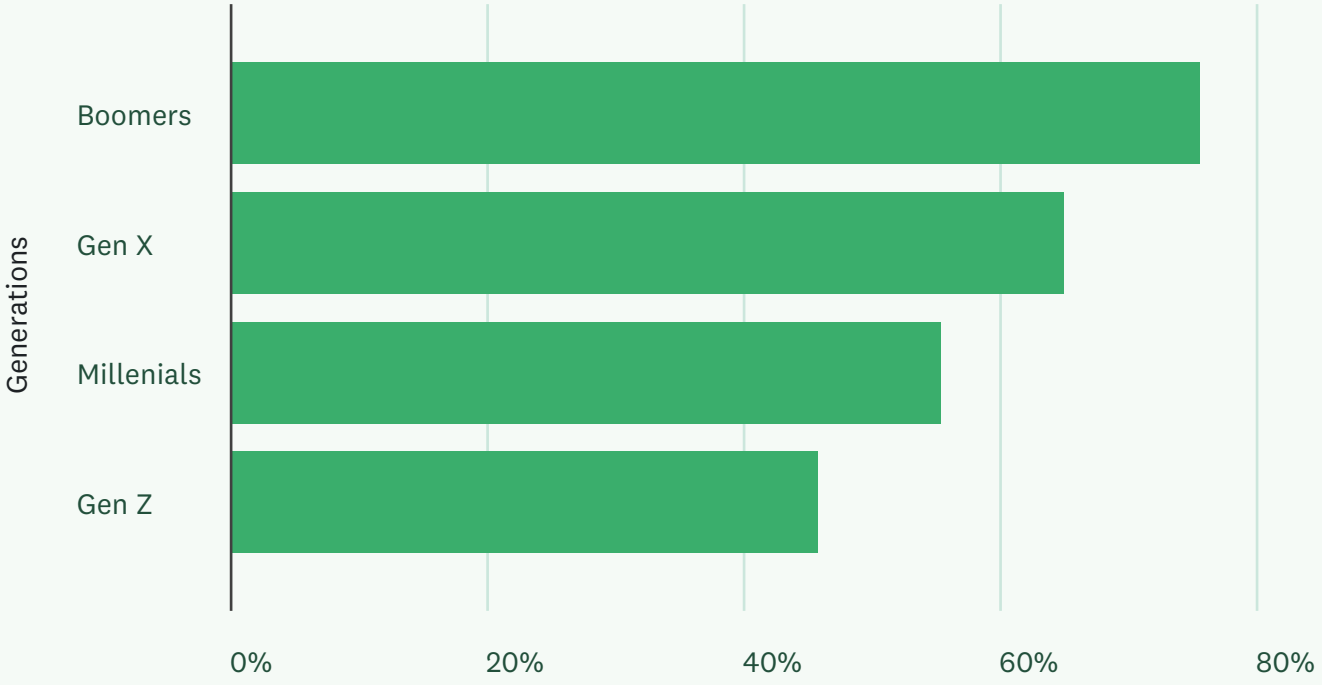
About **a third** of consumers said they would prefer to pay more to get faster shipping

Demographics matter

That all changes when you look at generational differences. While 65% of all consumers would choose slower delivery with lower fees, younger generations are much less patient. Only half (48%) of consumers aged 18-34 prefer to wait even for discounted shipping, while 85% of shoppers over age 65 are willing to endure a longer delivery to save on fees.

The generational divide is even more marked when it comes to returns. While 74% of Boomers and 64% of Gen X say a free return policy is important, only 45% of Gen Z agreed. In general, flexible return options, like multiple ways to drop off and no-questions-asked policies, matter much more to Boomers and Gen X—they are almost twice as likely to rank these conveniences as important.

Importance of free returns to consumers by generation



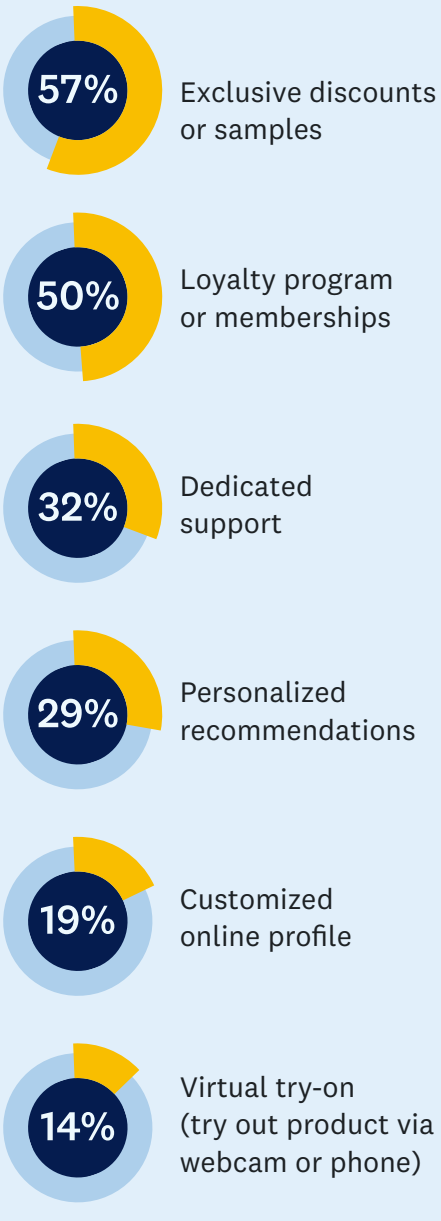
#2 Personalization ranks high

Personalized shopping surged during the pandemic as online purchasing replaced face-to-face, in-person interactions. It also provided consumers with experiences tailored to their behaviors and preferences, which turned out to be a win-win. Consumers are **much more likely to spend more** with retailers who invest in personalization services, like remembering who they are, what they've purchased, and offering relevant recommendations.

In our study, almost three-quarters (71%) of consumers said personalization was important, and expectations are actually higher for these services since the pandemic. More than one in three Gen Z (37%) and Millennials (36%) say they expect a more personalized customer experience when shopping now compared to pre-COVID, compared to 23% of Gen Xers and 20% of Boomers.

There are lots of ways to deliver on personalization expectations. From loyalty programs to recommendations, online shoppers appear interested in it all.

Overall consumer ranking of what's important when shopping with a brand

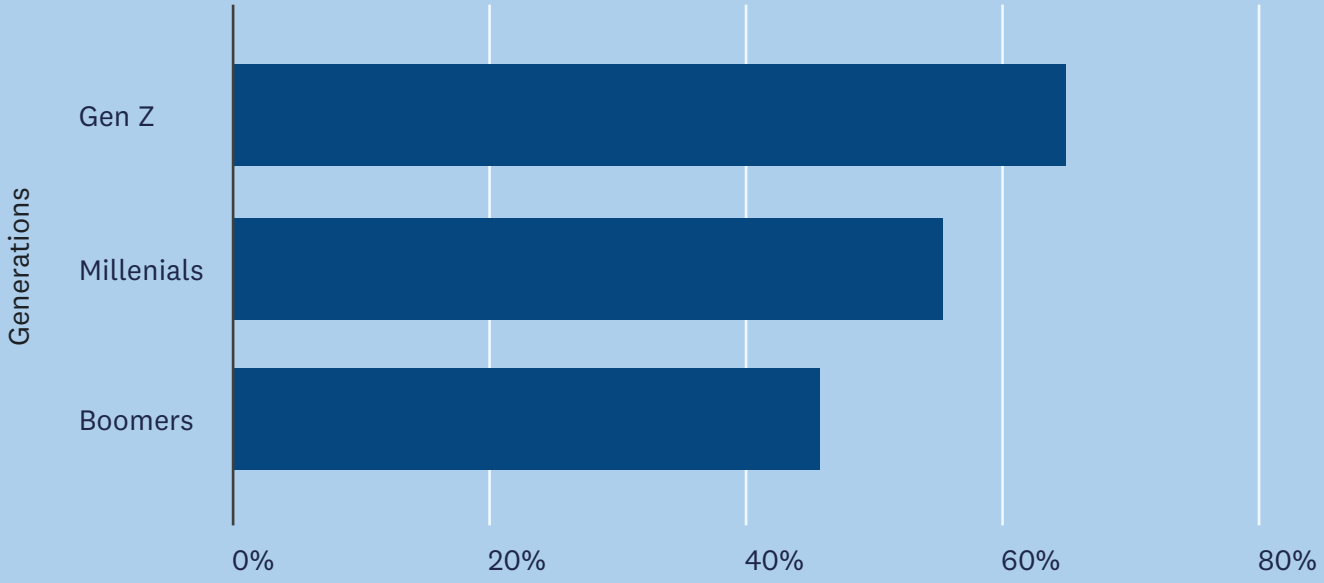


It's no surprise that people like freebies and discounts, but what is surprising are the generational distinctions. Younger generations are more motivated by shopping experiences that leverage their personal information—Gen Z was almost twice as likely to care about a customized online profile (23%) than Boomers (12%). They are also more open to new shopping technologies; almost a quarter (22%) of Gen Z are interested in virtual try-on services, compared to 8% of Boomers and 10% of Gen X.

Recommendations are also more important to younger shoppers, with Gen Z (40%) and Millennials (37%) being almost twice as likely to find recommendations important vs. Boomers (20%). Personal recommendations are also high on the list of what Gen Z and Millenials find important when shopping with a brand, ranking it third behind discounts and loyalty programs.



Importance of shopping recommendations to different age groups



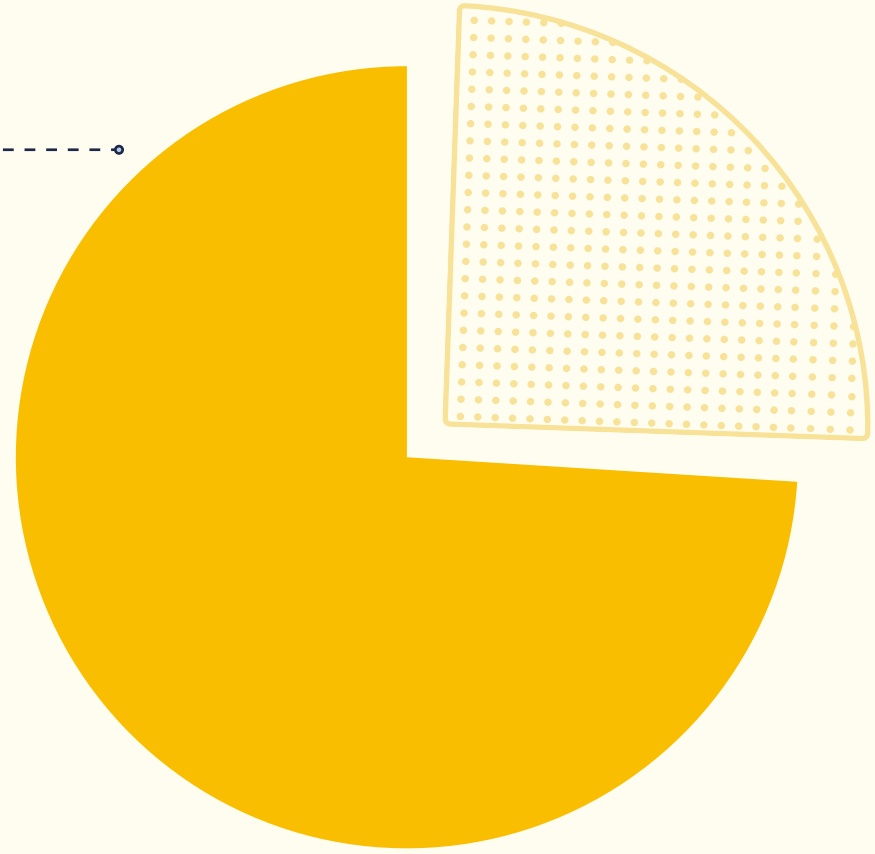
#3 Convenience, access, and loyalty programs are key

The lines have blurred between shopping channels that used to have clear delineations. Brick-and-mortar stores, online shops, and direct to consumer are more integrated as forward-thinking retailers adopt a multi-channel strategy.

The bottom line is that retailers need to be where consumers are shopping. Whether on social media, at a mall, or in-app, the decisions to purchase are no longer reserved for the end of a logical sales cycle. Consumers want what they want when they want it. However, with the multitudes of places they can shop, it's tricky for retailers to thread that needle.

74%

Fully 74% of consumers ranked a variety of shopping channels—in other words, access, convenience, and availability—as important when shopping with a brand.



Direct-to-consumer moves mainstream

Direct-to-consumer (DTC) companies, those niche, online brands, are no longer the industry darlings they were a few years ago. Once known for selling super-specialized products to a hyper-targeted audience, DTC products can now be found everywhere: online, in pop-ups, in company-owned brick-and-mortar stores, or at major retailers, like Target.

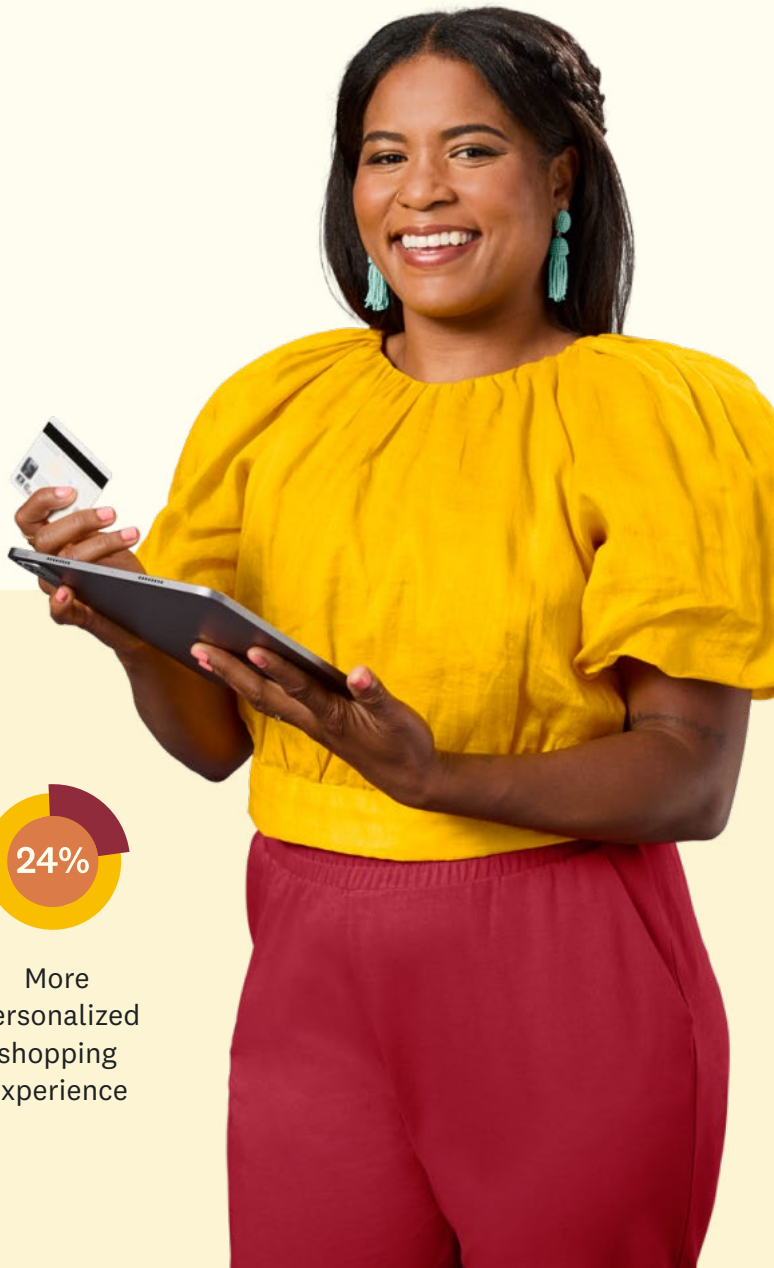
What's also changed is consumers' trust and acceptance of DTC companies. After pandemic-era problems with order fulfillment and deliveries, consumers are willing to give them another try.

79%

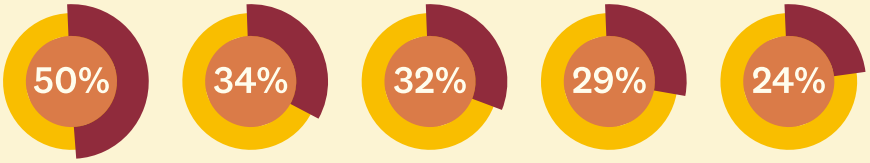
Nearly 4 in 5 (79%) of Americans have made a direct-to-consumer purchase within the last 6 months

Price and value drive DTC purchases, with 50% of consumers saying the goods provide a better value for the price compared to brands that are primarily sold at retailers.

Not surprisingly, DTC companies resonate with younger consumers, who are also more inclined to purchase online and on social media platforms, where those brands often focus their efforts. About half of Gen Z hear about DTC brands on social media compared to 28% of Boomers, and roughly a third of Gen Z (35%) and Millennials (30%) purchased from a DTC brand on their social media feed.



Consumers' reasons for purchasing from DTC companies



Better value for the price

Higher quality

More relevant products

Better customer support

More personalized shopping experience

A focus on values

DTC brands also tap into the importance of company values. Companies like Bombas, which donates a pair of socks for every purchase, or sustainable footwear and apparel pioneer Allbirds, have made brand values a key part of what attracts their target customer.

In our study, brand values are important to all consumers but resonate with specific demographics. While 66% of all consumers say that a company's environmental and social values—including DEI and sustainability — matter, that number is much higher amongst younger generations. According to our study, 80% of Gen Z respondents say company values are an important consideration when choosing a brand. When it comes to a DTC company, Millennials are 2X as likely to be motivated by brand values than other generations.



28%

of Millennials say they shop with a DTC company because their values align

Subscriptions and loyalty plans expand their reach

Consumers love a good deal. In our study, 57% of consumers say exclusive discounts are the most important element when shopping with a brand. How those discounts are offered, however, is another matter.

Subscriptions, which used to be the domain of streaming services and software, have expanded as a purchase option for a wide range of products—from food boxes to household supplies, beauty products, and clothing. Retailers love subscriptions for recurring revenue streams; consumers like easy access to products and discounts.

Top subscription products & services for consumers

Category	All consumers	Gen Z	Millennials	Gen X	Boomers
Digital media	33%	37%	41%	32%	26%
Delivery services	22%	29%	33%	19%	13%
Gaming	21%	37%	34%	14%	6%
Food and groceries	19%	32%	25%	13%	12%
Movies	15%	32%	21%	9%	6%
Clothing and fashion	11%	22%	18%	7%	2%
Fitness and health	10%	19%	17%	6%	4%
Make-up, beauty and wellness	10%	20%	17%	5%	3%

Younger consumers are much more likely to sign up for subscriptions than older generations.

15%

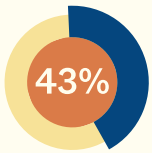
of Gen Z and Millennials say they don't subscribe to anything, compared to 55% of Boomers and 42% of Gen X

As far as what they subscribe to, Gen Z and Millennials appear to be willing to sign up for just about anything. About a quarter to a third state they subscribe to delivery services, gaming, food and groceries and movies, as well as digital media, which tops the list for Millennials at 41%.

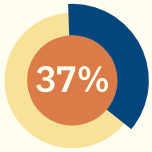
In our study, consumers who use a subscription service see one main benefit: 43% cite lower costs as their main reason for subscribing. More than one in three (37%) pay for a subscription because it's the only option for a product or service.



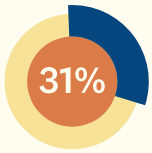
Why consumers sign up for subscription services



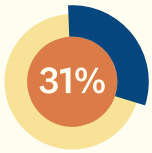
Cheaper than buying one time (discounts)



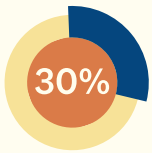
Product or service only available via subscription



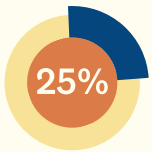
Simplifying and streamlining already-regular purchases



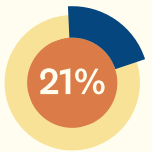
Look forward to getting new items or content



Ability try out a variety of content



Provides a personalized experience



Enhanced customer support

Despite their willingness to consider a subscription, consumers don't want to be forced. Nearly three-quarters (74%) of consumers are likely to stop purchasing a product or service that switches from a one-time purchase to a subscription model.

Buy Now, Pay Later downsides are clear

The growth of online shopping gave rise to new payment methods. In an August 2021 SurveyMonkey study, 33% of consumers who hadn't used Buy Now, Pay Later (BNPL) expressed interest in using the service. BNPL services were a boon for consumers regarding flexibility and convenience during the pandemic and continue to be a popular option. One in three (32%) Americans have made a purchase using "BNPL" within the last six months, with Gen Zers and Millennials driving adoption of the payment method (50% and 44%, respectively).

Nearly half (45%) cite a greater flexibility in payments and convenience of use (44%), followed by an inability to pay in full (41%) or interest- or fee-free purchases (38%).

Despite the benefits, nearly half (47%) of consumers who have used the service within the last six months regret it. Their reasons include making a purchase that was ultimately too expensive (36%), high late fees for missed payments (34%), or high-interest fees (33%).

Why consumers regret BNPL purchases



How retailers can stay on top of market trends

As the market continues to shift, retailers might feel like they are racing to keep up with their customers, but today, retail professionals can collect real-time insights on their industry, customers, competitors, and brand.

With fast, actionable feedback and market insights, retailers can anticipate industry trends and stay on top of evolving customer sentiment. Intuitive, flexible feedback management tools help retailers make the voice of the customer part of every business decision, pressure test campaign ideas, and keep a continuous pulse on their brand and how it ranks in the market.

How retailers can empower teams across their organization by simplifying customer feedback and market insights:

- Ask
- Listen
- Act

Ask
Start out with a solid understanding of your customers, your target market, and what they want. Tap into sentiment from your ideal audience before you launch and reach them with products, messaging, offers, and programs that solve real problems. Ask your current customers about their experiences—both online and in-store—to pinpoint what's working well and where there are opportunities to improve.

Listen
Gather customer feedback that can be applied to your retail campaigns and product offerings. What type of services do your customers value? Will you benefit more from a generous return policy, or do your target customers care more about personalized services? Where are there opportunities to improve the purchase experience?

Build ad and promotional campaigns around what will resonate with your target market. Do your ads inspire confidence, interest, or preference for your brand? By harnessing agile research, you can actually tap into what they think before going to market, without derailing your scheduled launch timeline.

Act
Develop and execute a plan that incorporates your findings. Provide proof your ideas will be successful by sharing the results of your market tests with stakeholders and leadership. Build in conclusions that others have missed, like the fact that an ad campaign that might have generated clicks, but didn't increase positive sentiments about your brand. Build consensus for your ideas by providing context with data collected from your target audience. Reduce iterative guesswork and anchor your decisions with insights.

Integrate customer feedback into the technology platforms you use every day to create a 360° of your customers and understand the specific actions needed to drive loyalty. Close the loop on customer feedback to drive long-term relationships and make data-driven adjustments to your products and services.

SurveyMonkey by momentive

Get the insights you need to ask, listen, and act

Make every customer experience count. Learn more about our **market research solutions** for retail including **brand tracking** and **customer experience**.

Or, take a tour of SurveyMonkey to **learn more**.

*Momentive study conducted in May 2023 of 2,000 U.S. adults 18+. Data weighted for age, race, sex, education, and geography using the Census Bureau's American Community Survey to reflect the demographic composition of the United States.